EQUITY RESEARCH · COMPANY DEEP DIVE

Apple Inc. (AAPL.US)

Technology · Consumer Electronics

Large Cap (>$200B) · Report Date: October 19, 2026

Latest financials: Q3 FY2025 · Model data as of 2026-10-19

UNDERWEIGHT

Composite · Valuation: SELL

Target $274.31 · -19.9% upside

Price $342.66

INVESTMENT HIGHLIGHTS

- **SELL** — blended target $274.31 (-19.9% vs $342.66); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; weak roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	SELL	Blended PT $274.31	45%
FSA	Weak	Health -0.30 · Weak	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.65 · 12m +36%	15%
Composite	UNDERWEIGHT	Score -0.26 · 50% confluence	—

Valuation rich but trend improving — wait for confirmation.

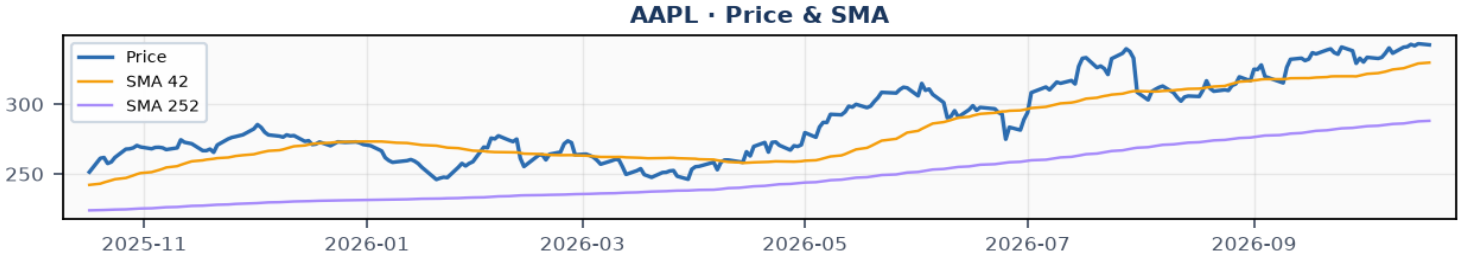
INVESTMENT THESIS / EXECUTIVE SUMMARY

Apple Inc. (AAPL) — Technology. Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a... **SELL** rating; blended target $274.31. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$5.00T	Shares Out.	14594.2M
52-Week Range	$243.42 – $348.15	P/E (TTM)	39.3x
P/B	46.6x	Beta	1.07
Avg Volume	44.45M	Analyst Rec.	Buy
Revenue (TTM)	$466.82B	Rev Growth	+16.4%
Op. Margin	32.6%	FCF (TTM)	$98.77B
Gross Margin	48.7%	ROE	1.5%
EV/EBITDA	30.0x	Debt/Equity	78.4%
EPS (TTM)	$8.72	Div Yield	31.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	391,035	416,161	484,411	543,655	594,275
Revenue Growth (%)	N/A	6.4%	16.4%	12.2%	9.3%
Net Income ($M)	93,736	112,010	130,380	146,325	159,949
Gross Margin (%)	46.2%	46.9%	48.7%	48.7%	48.7%
Net Margin (%)	24.0%	26.9%	26.9%	26.9%	26.9%
EPS ($)	6.42	7.67	8.93	10.03	10.96
P/E (x)	53.35	44.65	38.36	34.18	31.27

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$329.89	Short-term trend	**12m Momentum**	+36.3%	
SMA (252d)	$288.12	Long-term trend	**3m Momentum**	+5.2%	
RSI (14d)	71.2	Momentum oscillator	**Ann. Volatility**	28.0%	
Trend	Bullish		**Sharpe Ratio**	0.53	Rf=4%
Golden Cross (20d)	No		**Max Drawdown**	-33.4%	
Death Cross (20d)	No		**Rel. Strength vs SPY**	+53.9%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; RSI 71 — overbought zone	**Quant Score**	+0.65	POSITIVE
			SMA Backtest (ann.)	11.5%	B&H; 25.0%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$113.44	-66.9%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or d…
Comps — Blended	$260.55	-24.0%	80%	Included in blend
Analyst consensus	$329.38	-3.9%	20%	Included in blend
Blended target	$274.31	-19.9%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
9.88%	1.50%	8.20%	$1.66T	$113.44	-66.9%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MSFT	Microsoft Corporation	$3.97T	29.8x	20.5x	40.3%	+17.7%
GOOGL	Alphabet Inc.	$4.23T	17.4x	23.5x	54.8%	+24.2%
HPQ	HP Inc.	$27.29B	11.6x	7.2x	4.1%	+12.5%
DELL	Dell Technologies Inc.	$288.98B	26.4x	17.5x	7.5%	+57.7%
AAPL*	Apple Inc.	$5.00T	39.3x	30.0x	27.6%	+16.4%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (16.4% YoY); High operating leverage (32.6% margin); Sector: Technology | Industry: Consumer Electronics · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.